

Mohd. Shahjad v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 14 October 2009 · Writ-C No. 45969 of 2009 · **Writ allowed; recovery of Rs 2,65,975 under notice dated 8.1.2009 stayed until a final assessment is made under clause 8.1(b).**

HEADNOTE

A theft-of-electricity demand cannot be recovered on a provisional assessment. Clause 8.1(b) of the U.P. Electricity Supply Code, 2005 requires a final assessment before recovery can be initiated, even where the consumer files no objection, and that final assessment must record findings that the provisional assessment was served. An FIR under section 135 of the Electricity Act, 2003 had been lodged for using an electricity connection for commercial purposes; a provisional assessment was served; and recovery of Rs 2,65,975 plus charges was started under a notice dated 8 January 2009. The licensee's counsel admitted that no final assessment had been made. Insistence on recovering the amount without a final assessment violates the procedure prescribed by the Code. The writ was allowed and the recovery was directed to remain in abeyance until a final assessment is made against the petitioner.

FACTUAL SUMMARY

Mohd. Shahjad challenged recovery of Rs 2,65,975 plus recovery charges after an FIR under section 135 of the Electricity Act, 2003 for using an electricity connection for commercial purposes. The recovery notice was dated 8 January 2009. Counsel for the respondents accepted notice, stated that a provisional assessment had been made and served under paragraph 8.1 of the U.P. Electricity Supply Code, 2005, that the petitioner had been given sufficient opportunity to reply in writing or to be heard in person, and that no objections were filed, and fairly admitted that no final assessment had been made before the amount was sent for recovery. After listing orders from 1 September 2009, the Division Bench of Sunil Ambwani and Virendra Singh, JJ. allowed the writ on 14 October 2009.

REUSABLE CONSTRUCTIONS

1. A licensee cannot recover a theft-of-electricity demand on a provisional assessment; clause 8.1(b) of the U.P. Electricity Supply Code, 2005 requires a final assessment first. ¶ [order of 14.10.2009](#)
2. Final assessment under clause 8.1(b) is mandatory even where the consumer files no objection to the provisional assessment. ¶ [order of 14.10.2009](#)
3. The speaking final assessment under clause 8.1(b) must record findings that the provisional assessment was served on the consumer; service of the provisional bill and an opportunity to reply do not themselves authorise recovery. ¶ [order of 14.10.2009](#)

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1(b)

final assessment before recovery of a theft demand, even if no objection is filed

QUESTION

Can a licensee recover a theft assessment on a provisional bill where no objections were filed, without making a final assessment under clause 8.1(b)?

HOLDING

No. Clause 8.1(b) requires a final assessment in theft cases before recovery can be initiated, even if no objection to the provisional assessment has been filed. That final assessment must record findings that the provisional assessment was served. Recovering the amount without any final assessment violates the Code. Recovery of Rs 2,65,975 under the notice dated 8 January 2009 shall remain in abeyance until a final assessment is made against the petitioner.

¶ [order of 14.10.2009](#)

FLAG Source is unnumbered listing orders (1.9.2009–7.10.2009) plus an unnumbered disposal of 14.10.2009; pins refer to that disposal. The extract quotes clause 8.1(b)(ii)–(v) with OCR defects; the ratio is the Court's own construction of 8.1(b).

no-recovery-without-final-assessment-clause-8.1(b) Counsel admitted that a provisional theft assessment had been served and sent for recovery of Rs 2,65,975 without any final assessment; the Court held that clause 8.1(b) requires a final assessment first, even if no objection was filed, and stayed the 8.1.2009 recovery until that step is taken. ¶ [order of 14.10.2009](#)

clause-8.1b-personal-hearing-mandatory-before-final-assessment The 8.1(b) final-assessment step is not dispensed with because no objection was filed; the assessing officer must still make a speaking final assessment recording service of the provisional bill before recovery. ¶ [order of 14.10.2009](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE SECTION 135 THEFT ALLEGATION AND THE QUANTUM OF RS 2,65,975

Left to the licensee's final assessment under clause 8.1(b); recovery stayed until then. ¶ [order of 14.10.2009](#)